S&P Global Ratings

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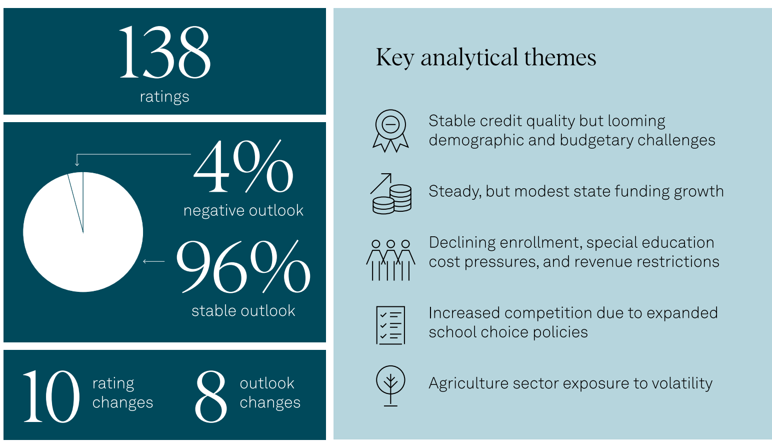
U.S. Local Governments Credit Brief: Iowa School Districts Means And Medians

April 23, 2026

This report does not constitute a rating action.

Iowa school districts | By the numbers



Data as of April 12, 2026. Source: S&P Global Ratings.

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Overview

Iowa school districts are under pressure from declining enrollment, modest state aid increases, and rising personnel and special education costs. This has led to more S&P Global Ratings downgrades (7) than upgrades (3) over the past year, with downgrades primarily driven by declining reserves due to operational deficits. There were also four revisions to negative from stable. Despite these difficulties, rating movement was in line with prior years and overall credit quality remained stable.

Declining enrollment is due to long-term demographic shifts, including outmigration and dropping birth rates, particularly in rural areas. The state also began its education savings account (ESA) voucher program in fiscal 2024, providing funds to students attending private schools. While many districts we rate have not seen a significant increase in private school competition due to a lack of nearby private schools or available private school capacity, the ESA program could accelerate migration to private schools over time.

Credit fundamentals:

- State per-pupil funding increased by 2% in 2026 and 2027. With the incremental increases in state aid, certain districts might feel a revenue pinch as cost increases outpace state aid.
- Districts can use a cash reserve property tax levy if their reserves were below 20% of expenditures two years prior, providing a mechanism to rebuild reserves.
- Enrollment, which declined statewide by 3% since October 2022, impacts operating revenues, leading to financial pressure for districts facing demographic challenges or school choice competition.

Potential challenges:

- Higher salary minimums and rising special education costs are creating difficult budgetary environments for some school districts.
- Commodity price fluctuations and a broader economic slowdown are normalizing agricultural output and incomes from previously elevated levels, potentially hindering revenue stability for districts in agriculture-dependent areas.

What We're Watching In 2026 And Beyond

While Iowa has been financially healthy and has provided steady, albeit modest, funding increases for school districts, the state funding environment may tighten over the medium term. The state gradually shifted from a graduated income tax structure with an 8.53% top rate to a flat 3.8% tax rate beginning in 2025. The state is drawing from a taxpayer relief fund to smooth the effect of this tax reduction for the first three to five years. We are also closely monitoring property tax reform proposals in the state legislature that could redirect more of the education funding burden to the state from local property taxes. We believe the income tax reduction and the potential increase in the state's share of education funding could result in more limited state education funding increases over time.

Declining enrollment could also accelerate given the state's weak demographic trends, which include slow population growth (0.1-0.4% annually), outmigration, and an aging population, and given the state's ESA program. Statewide, resident students utilizing an ESA increased from approximately 16,000 students in 2024-2025 to 41,000 in 2025-2026 and we expect this upward trend will continue though likely at a more modest pace given some of the recent growth has been due to a phase-out of income restrictions, particularly if new private schools open or existing schools expand.

Declining enrollment and modest state funding growth could lead to rating pressure for certain districts, particularly those that have thinner reserves and more limited long-term planning. The cash reserve levy allows districts to raise revenues, though given this tool can only be used if reserves were below 20% of expenditures two years prior, the two-year lag can lead to financial volatility, particularly for districts that lack the ability or willingness to make budgetary adjustments in other areas. We've also observed greater caution among school districts regarding use of the cash reserve levy. Furthermore, rural Iowa districts reliant on row-crop agriculture are susceptible to economic volatility driven by commodity prices and broader macroeconomic conditions, potentially affecting local tax bases.

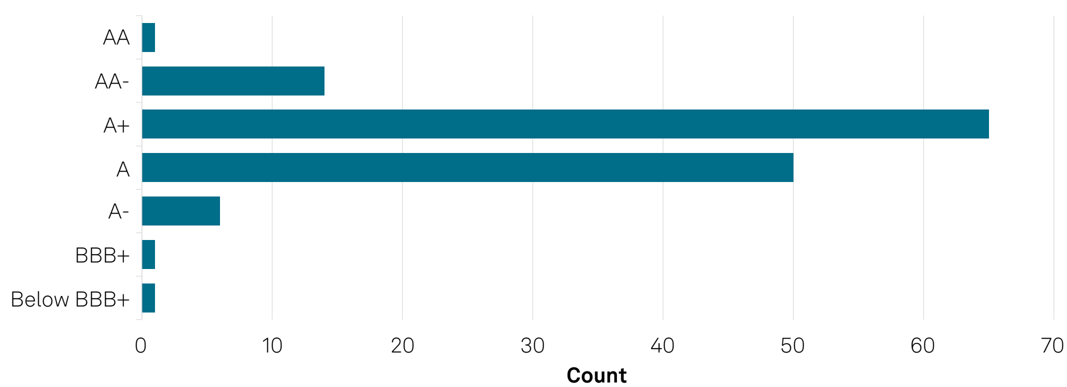
Iowa School Districts Data

Iowa school districts: medians

	State median	AAA	AA+	AA	AA-	A+	A	A-	BBB+	Below BBB+
County GCP (%) of the U.S.	84.27			95.36	100.23	84.27	77.03	68.57	73.15	103.22
County PCPI (%) of the U.S.	87.28			89.47	95.54	88.25	84.24	83.11	76.26	89.9
Local HHEBI (% of the U.S.)	98.26			116.64	108.22	100.9	93.98	96.66	91.43	101.61
Local PCEBI (% of the U.S.)	93.53			123.36	99.62	94.39	90.08	89.47	87.96	102.69
Three-year performance average (% of revenue)	-0.59			3.2	-0.59	-0.59	-0.75	-2.77	1.43	-0.54
Available reserves (% of operating revenue)	17.82			23.89	19.95	17.26	19	7.94	7.36	-22.41
Debt service (% of revenue)	8.81			4.9	9.38	8.81	8.87	7.58	8.06	8.62
Net direct debt per capita ($)	2304			1265	1951	2396	2310	1922	2600	3000
Pension contribution (% of revenue)	4.37			4.48	4.49	4.49	4.29	4.11	3.93	3.89
Net pension Liability per capita	547			492	544	551	552	492	522	543

GCP--Gross county product. HHEBI--Household effective buying income. PCEBI--Per capita effective buying income. PCPI--Per capita personal income.

Iowa school districts: Ratings distribution



Source: S&P Global Ratings.

Iowa school districts: Ratings list

As of April 12, 2026

	Rating	Outlook
AGWSR Community School District	A+	Stable
AHSTW Community School District	A+	Stable
Akron Westfield Community School District	A	Stable
Alburnett Community School District	A+	Stable
Allamakee Community School District	A+	Stable
Anamosa Community School District	A+	Stable
Atlantic Community School District	A+	Stable
Audubon Community School District	A	Stable
Baxter Community School District	A	Stable
Belle Plaine Community School District	A	Stable

Iowa school districts: Ratings list

As of April 12, 2026

	Rating	Outlook
Bellevue Community School District	AA-	Stable
Bondurant-Farrar Community School District	A+	Stable
Boone Community School District	A+	Stable
Boyden-Hull Community School District	A+	Stable
Boyer Valley Community School District	A	Stable
Brooklyn-Guernsey-Malcom Community School District	A+	Stable
Burlington Community School District	A+	Stable
Camanche Community School District	BBB+	Stable
Cardinal Community School District	A+	Stable
Carlisle Community School District	A+	Stable
Carroll Community School District	AA-	Stable
Cedar Falls Community School District	A+	Stable
Cedar Rapids Community School District	A+	Stable
Center Point-Urbana Community School District	A+	Negative
Centerville Community School District	A	Stable
Central Community School District	A+	Stable
Central DeWitt Community School District	A+	Stable
Central Lee Community School District	A+	Stable
Clarion-Goldfield-Dows Community School District	A	Stable
Clarke Community School District	A	Stable
Clear Lake Community School District	AA-	Stable
Clinton Community School District	A	Stable
Colfax-Mingo Community School District	A-	Negative
Collins-Maxwell Community School District	A	Stable
Colo-Nesco Community School District	A	Stable
Corning Community School District	A	Stable
Danville Community School District	A+	Stable
Davis County Community School District	A+	Stable
Denison Community School District	A+	Stable
Denver Community School District	A+	Stable
Dike New Hartford Community School District	A+	Stable
Durant Community School District	A+	Stable
East Buchanan Community School District	A	Stable
East Marshall Community School District	A	Stable
East Mills Community School District	A	Negative
Easton Valley Community School District	A	Stable
Edgewood-Colesburg Community School District	A+	Stable
Emmetsburg Community School District	A	Stable
Exira-Elk Horn Kimballton Community School District	A+	Stable
Fort Dodge Community School District	A+	Stable

Iowa school districts: Ratings list

As of April 12, 2026

	Rating	Outlook
Fremont-Mills Community School District	A	Stable
GMG Community School District	A	Stable
Galva-Holstein Community School District	A+	Stable
Gilbert Community School District	A+	Negative
Graettinger-Terril Community School District	BB+	Stable
Greene County Community School District	A+	Stable
Griswold Community School District	A+	Stable
Grundy Center Community School District	A	Stable
Hamburg Community School District	A-	Stable
Harlan Community School District	A	Stable
Harris Lake Park Community School District	A+	Stable
Hartley Melvin Sanborn Community School District	A	Stable
Hubbard-Radcliffe Community School District	A-	Stable
Hudson Community School District	A+	Stable
Interstate 35 Community School District	A+	Stable
Iowa Valley Community School District	A+	Stable
Jesup Community School District	A	Stable
Le Mars Community School District	AA-	Stable
Lenox Community School District	A	Stable
Lewis Central Community School District	A+	Stable
Linn-Mar Community School District	A+	Negative
Lisbon Community School District	A+	Stable
Logan-Magnolia Community School District	A	Stable
Lone Tree Community School District	A	Stable
Madrid Community School District	A	Stable
Manson Northwest Webster Community School District	A+	Stable
Marcus Meriden Cleghorn Community School District	A-	Stable
Marion Independent School District	A+	Stable
Martensdale-Saint Marys Community School District	A+	Stable
Melcher-Dallas Community School District	A	Stable
Mid-Prairie Community School District	A+	Stable
Missouri Valley Community School District	A+	Stable
Montezuma Community School District	A	Stable
Monticello Community School District	A+	Stable
Moravia Community School District	A+	Stable
Mormon Trail Community School District	A-	Negative
Mount Vernon Community School District	A+	Stable
Murray Community School District	A+	Stable
Nashua-Plainfield Community School District	A+	Stable
Nevada Community School District	A+	Stable

Iowa school districts: Ratings list

As of April 12, 2026

	Rating	Outlook
New Hampton Community School District	A	Stable
Nodaway Valley Community School District	A+	Stable
North Linn Community School District	AA-	Stable
North Mahaska Community School District	A+	Stable
North Polk Community School District	A+	Stable
North Scott Community School District	AA-	Stable
North Tama County Community School District	A	Stable
Northwood-Kensett Community School District	A	Stable
Odebolt Arthur Battle Creek Ida Grove Community School District	A	Stable
Ogden Community School District	A+	Stable
Pcm Community School District	AA-	Stable
Pekin Community School District	A	Stable
Perry Community School District	A	Stable
Pleasant Valley Community School District	AA	Stable
Pleasantville Community School District	A	Stable
Red Oak Community School District	A	Stable
Riverside Community School District	A	Stable
Rock Valley Community School District	A+	Stable
Roland-Story Community School District	AA-	Stable
Saint Ansgar Community School District	A	Stable
Saydel Community School District	A+	Stable
Schleswig Community School District	A	Stable
Seymour Community School District	A	Stable
Sheldon Community School District	AA-	Stable
Sidney Community School District	A	Stable
Sioux Center Community School District	A	Stable
Sioux Central Community School District	A+	Stable
South Hamilton Community School District	A	Stable
South O'Brien Comnty Sch Dist	A	Stable
South Tama County Community School District	A+	Stable
Southeast Polk Community School District	AA-	Stable
Springville Community School District	A+	Stable
Storm Lake Community School District	A	Stable
Tipton Community School District	AA-	Stable
Treynor Community School District	A+	Stable
Underwood Community School District	A+	Stable
Van Meter Community School District	AA-	Stable
Villisca Community School District	A	Stable
Washington Community School District	A	Stable
West Branch Community School District	A	Stable

Iowa school districts: Ratings list

As of April 12, 2026

	Rating	Outlook
West Central Community School District	A-	Stable
West Des Moines Community School District	AA-	Stable
West Fork Community School District	A+	Stable
West Lyon Community School District	A+	Stable
West Sioux Community School District	A	Stable
Western Dubuque County Community School District	AA-	Stable
Woodbine Community School District	A+	Stable
Woodward-Granger Community School District	A+	Stable

Related Research

- U.S. Local Governments Credit Brief: School District Means And Medians, Oct. 8, 2025
- School's Back In Session And Some U.S. K-12 Public Districts Won't Make The Grade, Sept. 11, 2025